Taxation and Efficiency: In-Class Questions

EC313 Public Economics: Taxation, Fall 2026

These questions are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

For each of the following, state whether it is true or false, and provide an explanation (all marks come from the explanation).

a) If a tax leaves the quantity of the taxed good unchanged, the tax has no excess burden.

b) A subsidy lowers the price consumers pay, so unlike a tax it cannot create an excess burden.